

CfC Stanbic Holdings Limited

Financial performance for the year ended
31 December 2015





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Welcome and remarks



Full year review

Philip Odera

Chief Executive, CfC Stanbic Bank

Operating environment



Macro- economic environment

- Inflation – December 2015 8.0% vs. December 2014 6.0%
- 91-day T-bill – December 2015 10.85% vs. December 2014 8.57%
- USD exchange rate – December 2015 102.00 vs. December 2014 90.07

Regulatory environment

- Revision of Central Bank Rate
- New capital requirement that came into effect in 2015
- Appointment of new Central Bank Governor
- Exchange rate reforms in South Sudan

Market opportunities

- Infrastructural projects such as the Standard Gauge Railway, Up scaling of Jomo Kenyatta International Airport
- Kenya Roads Annuity Program
- Oil and gas projects in Kenya
- Successful global entrepreneurship summit

Market threats

- Terrorism
- Deteriorating operating environment in South Sudan
- Potential downgrade of South Africa

Key metrics



	Dec-2015	Dec-2014	Change %
Total revenue (Kes m)	16,944	16,871	0
Profit after tax (Kes m)	4,905	5,687	(14)
Cost to income ratio	51.2%	50.2%	
Tier 1 capital ratio (Bank only)	15.9%	17.5%	
Total capital ratio (Bank only)	18.7%	21.1%	

	Dec-2015	Dec-2014
Return on average equity	13%	16%
Return on equity net of goodwill	17%	23%
Earnings per share	12.41	14.38
Net asset value per share	97.05	93.33
Dividend per share	6.15	6.15

The Kenya Group (Kenya Bank, South Sudan branch, SBG Securities and the newly incorporated Stanbic Insurance Agency Limited) reported a year on year decline in profitability mainly due to:

- Decrease in revenue in our South Sudan operations as the deteriorating operating environment continue to impact the South Sudan economy
- Decrease in trading income driven by rise in yields due to heavy mopping up of liquidity

However the Group continued to report growth in balance sheet with customer deposits growing by 10% and customer loans growing by 19%

SBG Securities improved its market share to 14.97% from 13.24% in 2014. This is despite lower volumes experienced in the securities exchange in 2015 due to local currency depreciation against the dollar

The Group continues to focus on cost discipline with costs growing below inflation



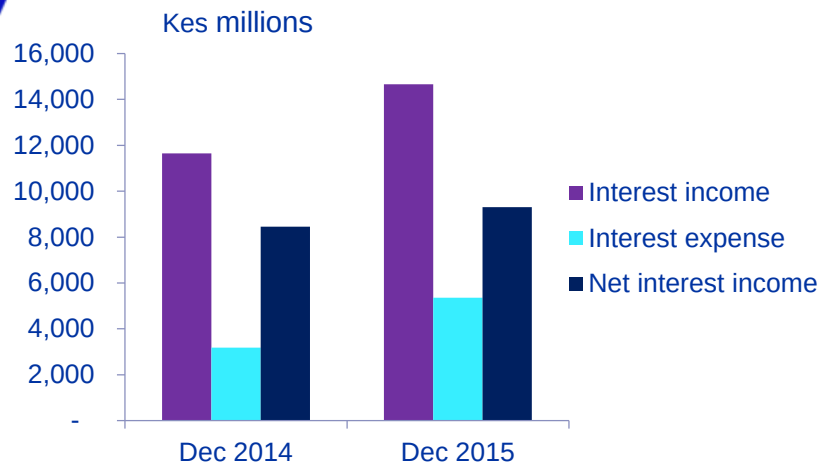
Detailed financial analysis
Abraham Ongenge
Chief Financial Officer

Summary Income statement



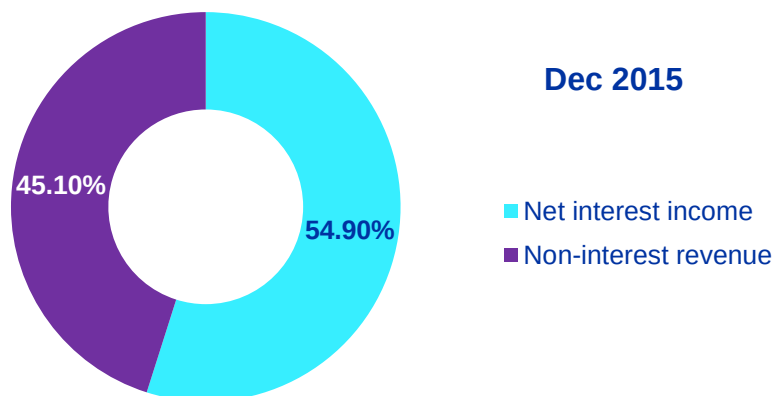
	Dec-2015 Kes millions	Dec-2014 Kes millions	Change %
Net interest income	9,303	8,462	10
Non-interest revenue	7,641	8,409	(9)
Total Income	16,944	16,871	0
Credit impairment charges	(907)	(703)	(29)
Total income after credit impairment charges	16,037	16,168	(1)
Operating expenses	(8,678)	(8,467)	(2)
Profit before tax	7,359	7,701	(4)
Tax	(2,454)	(2,014)	(22)
Profit after tax	4,905	5,687	(14)

Net interest revenue

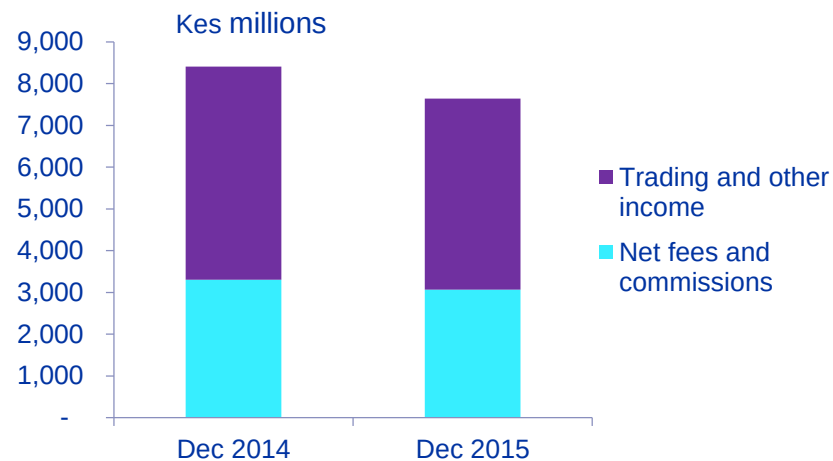


Net interest income increased year on year by 10% explained by:

- Growth in customer loans and advances by 19%
- Partly offset by margin compression following successful securing of term funding to support loan growth



Non-interest revenue



Net fees and commission income

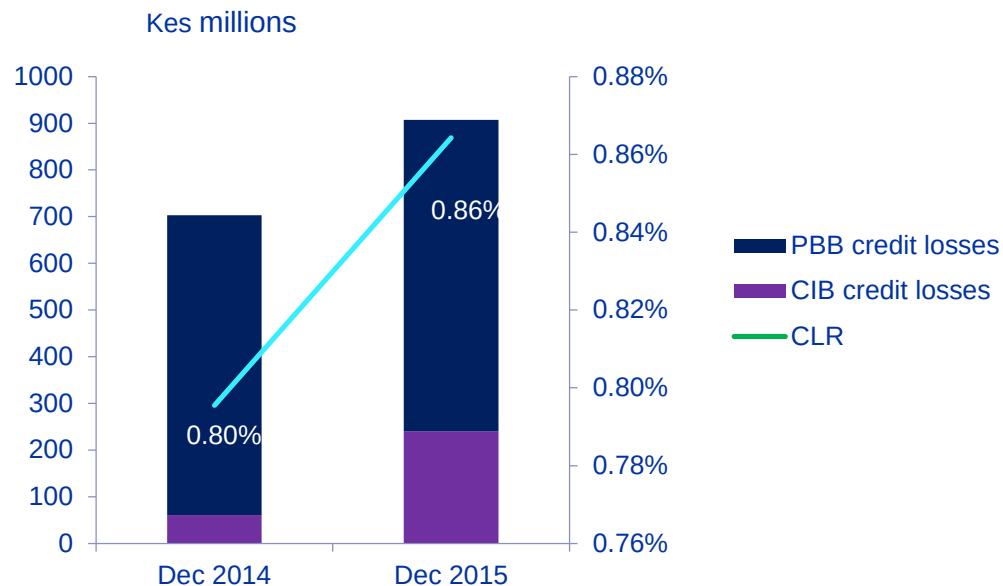
Net fees and commission income decreased from Kes 3,308m in 2014 to Kes 3,069m in 2015. This was mainly attributable to decreased transactional volumes in the South Sudan business

Trading revenue

Income from trading decreased from Kes 4,779 million to Kes 4,307 million. The decrease was mainly driven by harsh trading environment in the Kenya bond market, partly offset by net unrealised gain on monetary assets in South Sudan arising from devaluation of the South Sudanese Pound

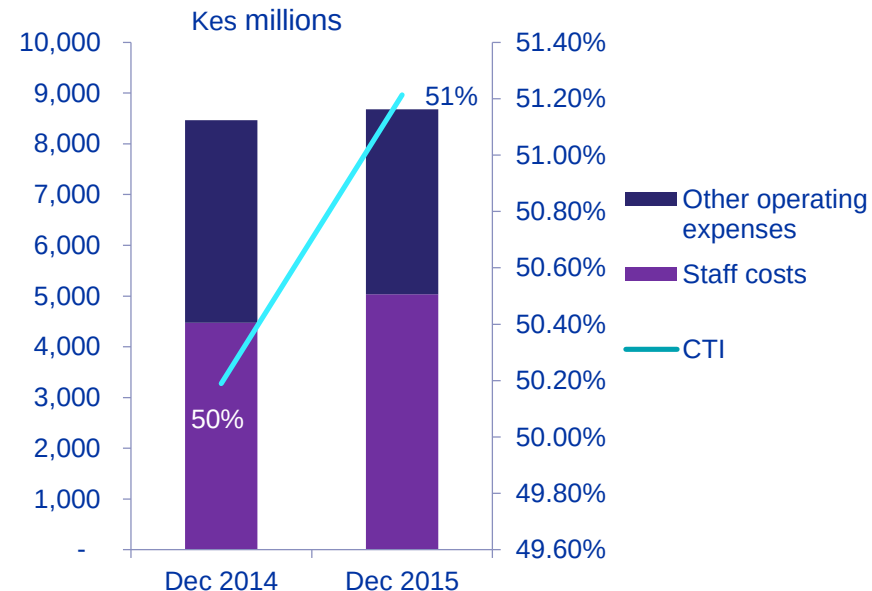


Credit impairment charges



- Impairment charges have increased year on year due to growth in loan book

Operating expenses



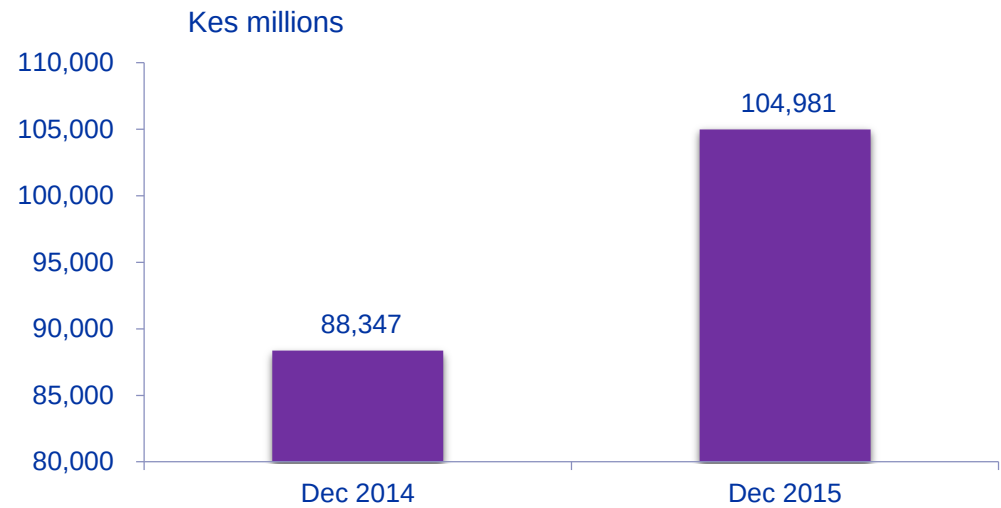
- The cost to income ratio edged slightly higher to 51% due to the increase in operating costs by 2% compared to growth in revenue by 0.4%
- The Banking business successfully upgraded its core banking system and digital platforms

Summarised group balance sheet



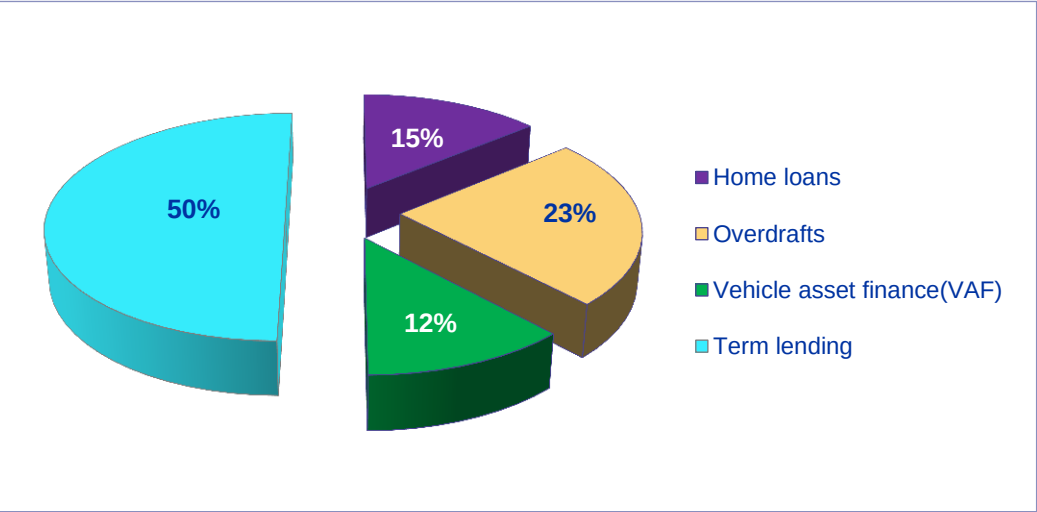
	Dec-15 Kes millions	Dec-14 Kes millions	Change %
Assets			
Financial investments	48,702	52,168	(7)
Loans and advances to banks	23,182	12,863	80
Loans and advances to customers	104,981	88,347	19
Other assets	19,181	15,373	25
Property and equipment	2,302	2,408	(4)
Intangible assets	10,104	9,840	3
Total assets	208,452	180,999	15
Liabilities			
Deposits from banks	47,964	33,570	43
Deposits from customers	105,707	95,839	10
Borrowings	6,482	6,513	(0)
Other liabilities	9,934	8,182	21
Equity	38,365	36,895	4
Liabilities and equity	208,452	180,999	15
Contingents	26,588	22,524	18
Letters of credit	5,175	9,341	(45)
Guarantees	21,413	13,183	62

Customer loans and advances

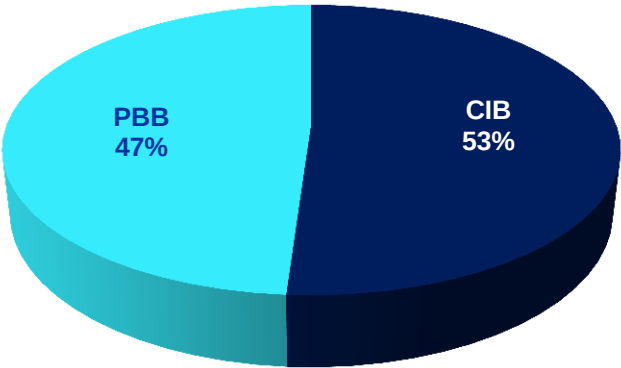


■ Customer loans and advances grew by 19% year on year mainly on term lending

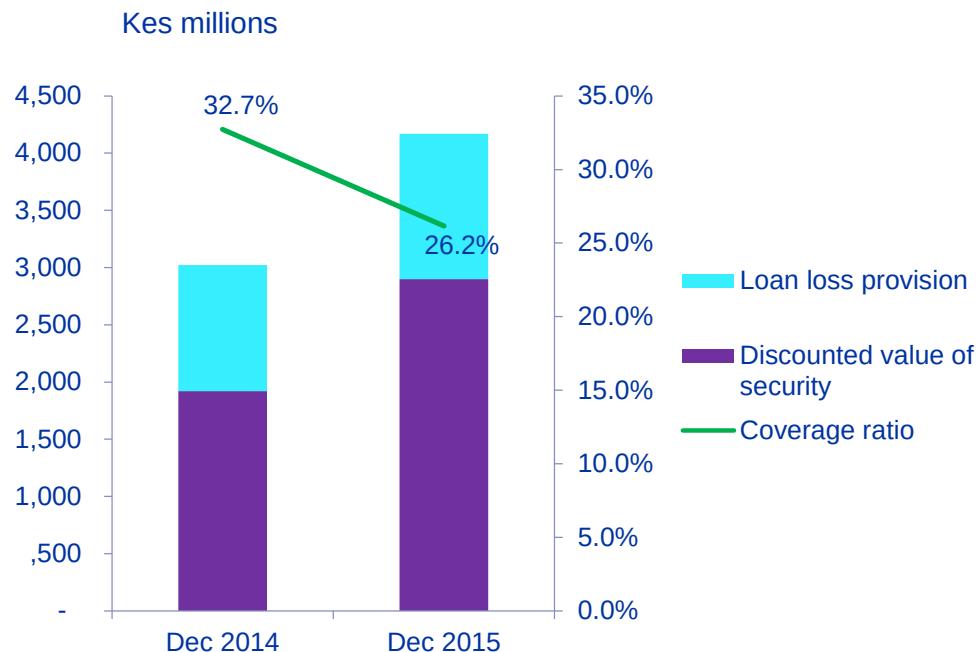
December 2015 Loans and advances by product



December 2015 Loans and advances by business unit

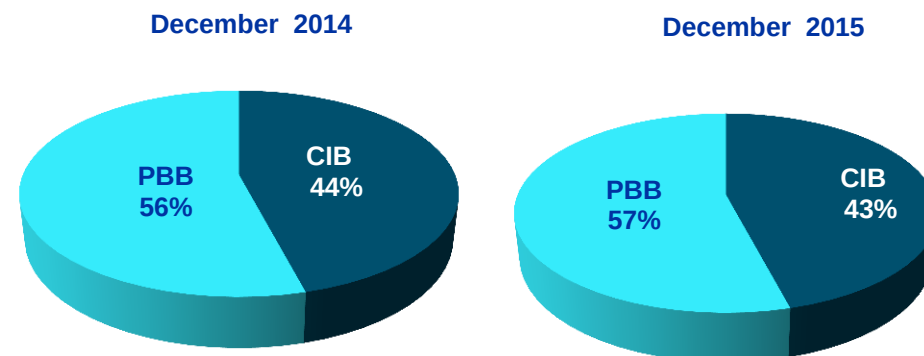


Customer loans and advances – Non performing loans (NPLs)

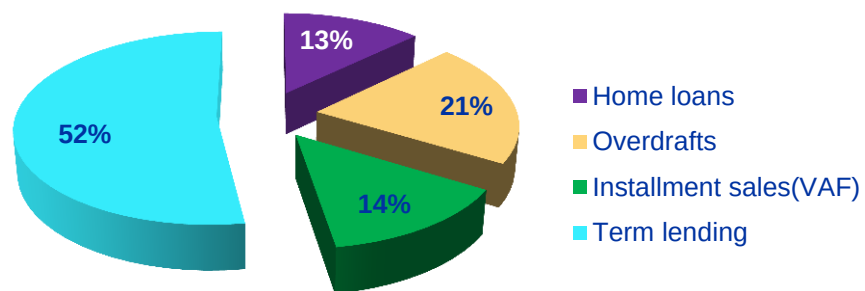


- Gross NPLs have increased by Kes 1,488m
- These exposures are fully secured and the discounted value of securities held explains the disproportionate increase in loan loss provision and decrease in NPL coverage ratio

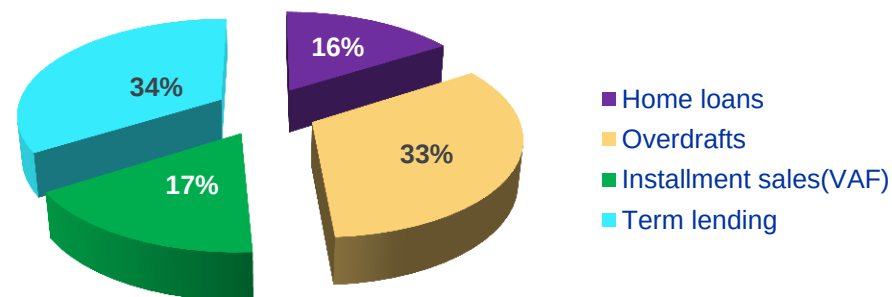
Gross NPLs by business unit



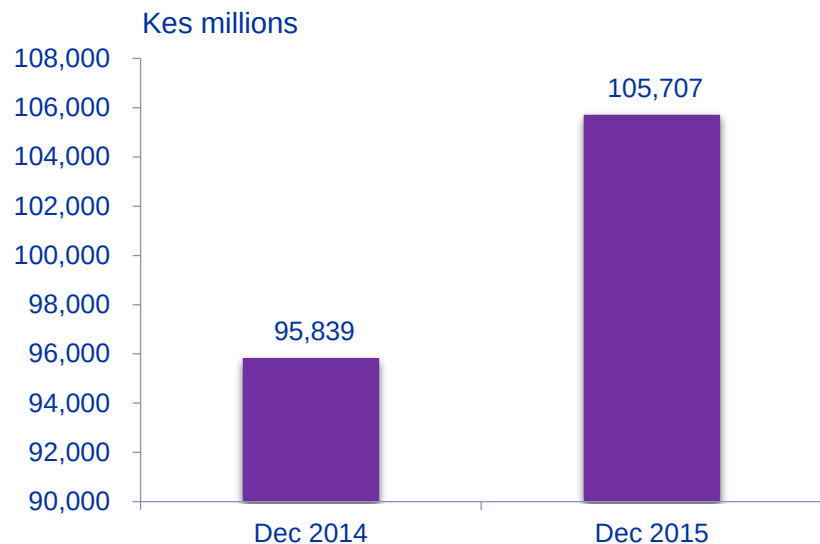
December 2014 Gross NPLs by product



December 2015 Gross NPLs by product



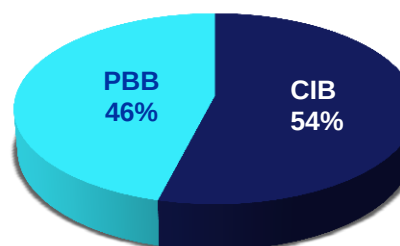
Customer deposits



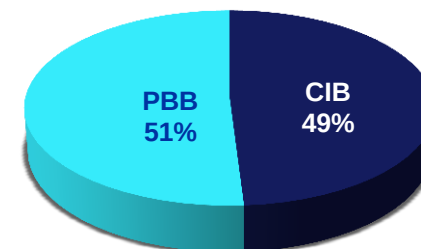
- Customer deposits grew by 10% year on year with core accounts accounting for 69 % of total deposits

Customer deposits by business unit

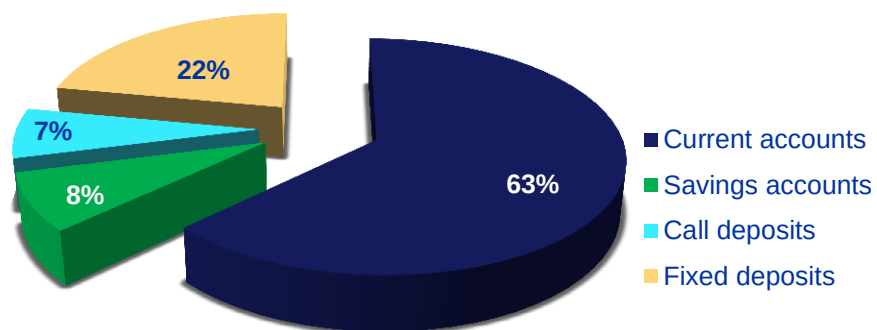
December 2014



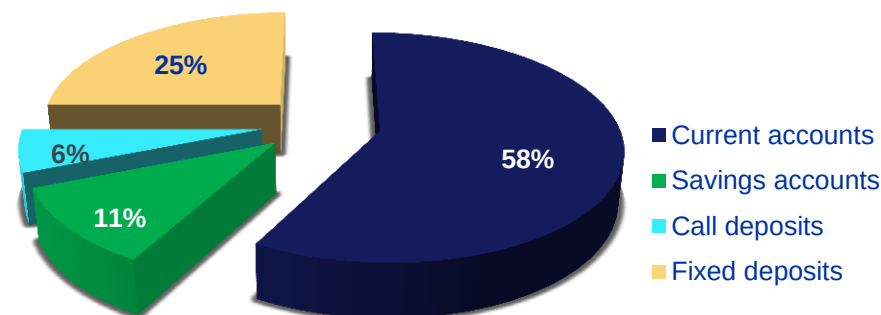
December 2015



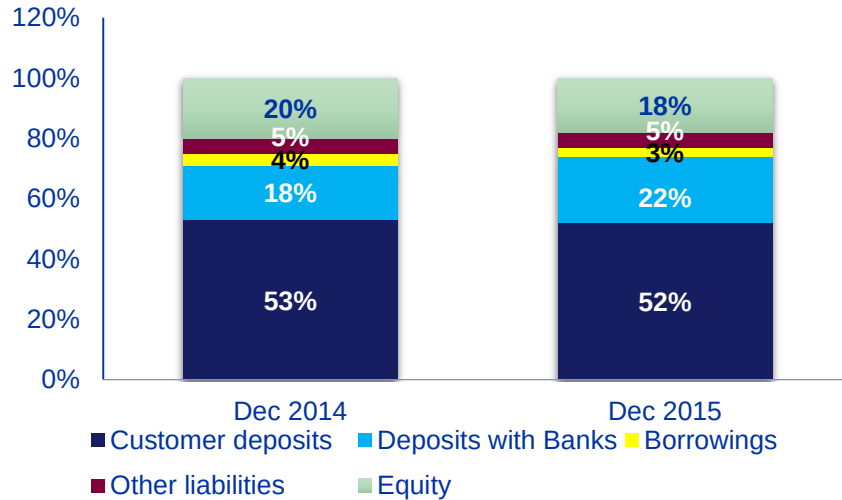
December 2014 customer deposits per product



December 2015 customer deposits per product

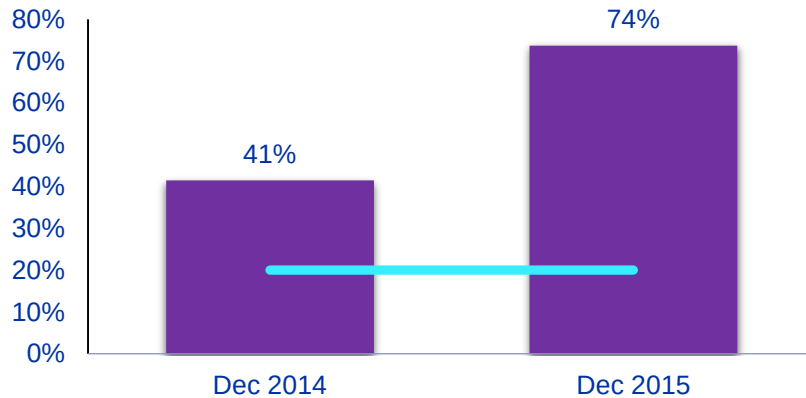


Funding, liquidity and capital

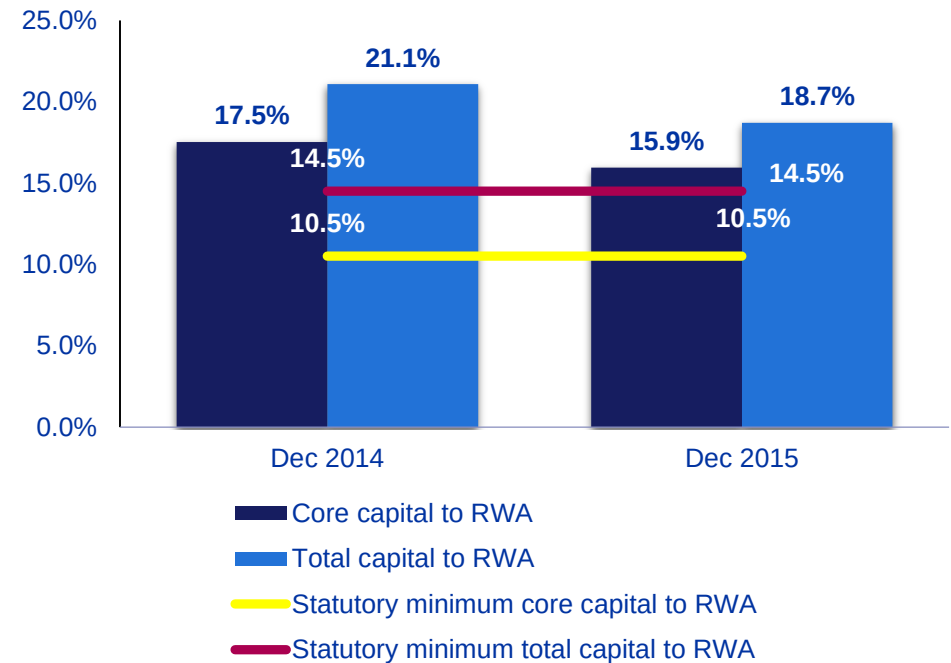


- Assets funded mainly from customer deposits
- Increase in deposits with banks explained by term funding raised to support term lending

Liquidity ratio (Bank only)



Capital adequacy ratio (Bank only)



RWA- Risk weighted assets



Corporate and Investment Banking

Mike Blades

Executive, Corporate and Investment Banking

CIB summary performance



	Dec-2015 Kes millions	Dec-2014 Kes millions	Change %
Net interest income	5,097	4,649	10
Non-interest revenue	5,706	6,526	(13)
Total income	10,803	11,175	(3)
Credit loss ratio	0.4%	0.1%	
Customer loans and advances	55,495	45,122	23
Customer deposits	52,040	51,041	2
Contingents	24,158	18,565	30
Letters of credit	4,502	7,565	(40)
Guarantees	19,656	11,000	79

- Growth in net interest income was as a result of increase in the customer loans and advances which was negatively impacted by margins compression as a result of rising interest rates in the market, as well as late drawdowns on loans and advances towards the end of the year
- Fees and commissions revenues were behind 2014 as a result of the impact of the deteriorating business environment in South Sudan
- Growth in customer loans and advances was mainly driven by a combination of long term investment needs as well as working capital requirements for our clients
- Decrease in customer deposits was mainly on term deposits; given the high interest rate environment in 2015, the Bank continues to focus on the cheap liabilities in the form of current accounts

CIB 2016 strategic priorities



- Ensure that the client is at the forefront of CIB activity by being client-centric
- Ensuring that we offer world class service to our clients
- Growing the local currency customer assets and liabilities
- Grow client revenues by broadening our customer base and increasing the share of wallet in existing clients
- Increased focus on transactional banking
- Maintain strong discipline around costs



Personal Business Banking (PBB)

Adam Jones

Executive, Personal and Business Banking

PBB summary performance



	Dec-2015 Kes millions	Dec-2014 Kes millions	Change %
Net interest income	4,206	3,813	10
Non-interest revenue	1,935	1,882	3
Total income	6,141	5,695	8
Credit loss ratio	1.3%	1.5%	
Customer loans and advances	49,486	43,225	14
Customer deposits	53,667	44,798	20
Contingents	2,430	3,959	(39)
Letters of credit	673	1,776	(62)
Guarantees	1,757	2,183	(20)

- Net interest income growth impacted by margin compression in highly volatile interest rate environment in Q4 2015 despite significant growth in customer loans and customer deposits
- Non-interest revenue growth impacted by deteriorating business environment in South Sudan; excluding South Sudan operations, Non- interest revenue growth is 13% driven by increase in transactional volumes and fees from trade finance
- Credit loss ratio improvement driven by improved collections and pro active management of the portfolio
- Growth in customer loans and advances within Commercial Banking , SME, Wealth and Investments and Private Banking segments
- Growth in customer deposits within current and savings accounts in line with our strategy of raising cheap deposits to improve margins

PBB 2016 strategic priorities



	Priority Area	Planned Initiatives
1	Invest further in Private and Commercial banking segments	Continuously train and develop our Relationship Management teams
2	Raise cheaper deposits i.e. current and savings accounts to improve margins	Local (7%) and foreign (3%) currency deposit campaigns
3	Invest significantly in mobile and internet banking capabilities	Optimizing our new Mobile and Internet Banking platforms launched in 2015
4	Invest in non interest revenue activities to improve returns	Growing our bancassurance business Building scale in our payments and collections capabilities
5	Enhance customer experience through improved turnaround times	Implement improvement initiatives covering our account opening, lending and payments/collections processes
6	Opening of new branches	The Hub Karen (April 2016) and Two Rivers (July 2016)



SBG Securities (SBGS)
Nkoregamba Mwebesa
Chief Executive, SBG Securities

SBGS summary performance



	Dec-2015 Kes millions	Dec-2014 Kes millions	Change %
Brokerage commission	399	455	(12)
Other revenue	200	150	33
Total revenue	599	605	(1)
Total expenses	(322)	(252)	(28)
Profit before tax	277	353	(22)
Tax	(61)	(115)	47
Profit after tax	216	238	(9)

- SBG Securities earned revenues of Kes 599m for the period ending 31st December 2015 indicating a moderate decline from Kes 605mn recorded in the same period last year
- The drop in performance reflects subdued equity and fixed income market activity for the period under review
- The decline was largely attributed to:
 - Uncertainty in the implementation of capital gains tax
 - Erosion of returns by a weakening Kes
 - General risk off emerging markets by Institutional Investors
- Market turnover as at 31st December 2015 was lower by 2.9% from the previous year
- SBG Securities market share YTD December 2015 stood at 14.97% from 13.24% in December 2014

SBGS 2016 strategic priorities



Perspective 2016

- The theme for 2016 will be continued focus on Sub-Saharan Africa excluding South Africa as challenges pertain in EM
- Global competition is in disarray mainly due to dislocation in EM, Europe and the Russian sanctions. Big firms are likely to continue laying off staff and reducing resources and footprint
- Nigeria as a destination is likely to continue to have internal challenges and so Kenya could continue to get more action in 2016. Risk to this is that investors become overweight Kenya and the region
- SBGS will continue to re-invest in the business as we believe frontier markets will likely remain neutral or see an upside in the second quarter

Maintain a sustainable market performance and position

- Equities performance targets:
 - Kenya : Maintain Top 2
 - Uganda : Maintain No.1
 - Rwanda : Stretch target is No.2 from No.3
- Fixed Income performance targets:
 - Maintain No. 3

Investment and Focus areas

- Alignment of Research and Institutional sales
- Improved visibility in the research product
- Corporate access- Flagship Conference in Zanzibar 2016
- Sales and Execution function - Focus on systems, execution and facilitation.
- Leverage on digital channels - Mobile trading and iTrader



Appendix

Appendix 1 : Company Overview

- CfC Stanbic Bank is part of the Standard Bank Group, Africa's largest bank by assets
- The Bank is a subsidiary of CfC Stanbic Holdings Limited (CSHL)
- CSHL is listed on the Nairobi Securities Exchange and is a subsidiary of Stanbic Africa Holdings Limited, which is in turn owned by Standard Bank Group Limited (SBG)
- CfC Stanbic Bank focuses on two segments: Corporate and Investment banking and Personal and Business banking
- Corporate and Investment Banking offers services to larger corporates, financial institutions and international counterparties in Kenya
- Personal and business banking offers banking and other financial services to individuals and small-to-medium enterprises

Our vision

We aspire to be a leading financial services organisation in Kenya

Our values

- Upholding the highest levels of integrity
- Serving our customers
- Delivering to our shareholders
- Constantly raising the bar
- Growing our people
- Respecting each other
- Being proactive
- Working in teams



Appendix 2 : Key milestones



2008
**Acquisition
and
merger**

Stanbic Africa Holdings Ltd acquired CfC Bank Ltd to form CfC Stanbic Holdings Ltd (CSHL)

The new company merged its banking business (CfC Bank and Stanbic Bank) to form CfC Stanbic Bank Ltd offering a full range of financial services including banking, insurance and stock brokerage

2009/2010
**Integration of
systems and
organic growth**

The Bank integrated its two core banking systems into one platform

The Bank opened 5 new branches during this period

2011
**Demerger of
insurance entities
and restructure
of SBG Securities**

Insurance entities were demerged from CSHL and transferred to a new holding company known as CfC Insurance Holdings Ltd owned by Liberty Holdings

The Equities business was restructured to focus on corporate clients

2012
**Rights issue and
entry into South
Sudan**

CSHL raised additional capital through a rights issue

The additional capital was required for growing the customer asset book and expansion to South Sudan

2013/2014/2015
**Growth of PBB and
reorganisation of
South Sudan
business**

Refocus PBB business to middle income and HNI and enhanced focus on Commercial Banking in the BB segment

Incorporation of Stanbic Insurance Agency

Process to convert the South Sudan operations into a subsidiary began

Appendix 3 : Accolades

Awards won in 2015

EMEA Finance awards - Best Investment Bank

The Banker East Africa - Best Investment Bank

Global Finance Magazine awards - Best foreign exchange bank in Kenya

Global Finance Magazine awards - Best sub-custodian in Kenya

Global private banking awards by The Banker & Professional Wealth Management Magazine - Best private bank

Think Business Banking Awards - Best Bank in Customer Satisfaction (1st Runner-up)

Think Business Banking Awards - Best Bank in Mortgage Finance (2nd Runner-up)

Financial Reporting (FiRe Awards) -2nd Runner-up (Bank Category)

Best Yield Taxpayers Award – Kenya Revenue Authority



Appendix 4 : Corporate Social Investment highlights



Education

- Strathmore University Scholarship
- United States International University Scholarship Fund (USIU)
- Palm house Foundation Sponsorship and Mentorship Programme
- Financial Literacy

Health and Wellbeing

- Mater Heart Run
- SOS Children's Villages sponsorship





Q & A